

Computers & Money CSCI 12100
Hunter College 2025 Summer Term
Extra Credit Project: Personal Financial Plan

Objective: Develop a long-term financial plan to be utilized for class purposes or real life.

Due Date: Tuesday July 8th 11:59PM ET (no exceptions made)

The goal of this course is to enable you to use Excel (or other spreadsheet software) to enhance your knowledge of financial concepts. The extra credit project ties together the topics that you have studied throughout the course. In this project, you will develop a personal financial plan from your current age to the age of 85. The financial plan can reflect your actual goals or can be made up for an imaginary person. This project will consist of an excel spreadsheet presenting estimated calculations and a written report that describes and explains the spreadsheet. The length of the written portion should be 2 to 3 pages double spaced.

What will be evaluated? (Rubric at bottom)

1. Presentation of information (is the information easy to read and to follow; creativity will be rewarded)
2. Accuracy of the data; calculations are correct on the excel sheet, numbers are believable and realistic
3. Writing content; explanation or justification of various points of discussion

Required components of the Excel spreadsheet: You are required for organizing your spreadsheet clearly. It should be in one spreadsheet file, but you can use different sheets in one file. Clear labeling should occur for all cells.

- Income and taxes
 - Annual income before taxes
 - Estimated annual taxes, including income
 - Monthly and annual income after taxes
- Monthly expenses
 - Housing (rental, mortgage payments)
 - Auto/Public Transportation
 - 3 Other Expenses (e.g., food, leisure, home maintenance, etc.)
- Banking and investing
 - Checking account with no interest rate
 - Ordinary savings account with estimated interest rate
 - Retirement account (IRA, tax-deferred IRA)
 - Mutual funds and stocks
 - Student loan debt
 - Credit card debt
 - Mortgage (30 year, fixed rate)

Written report: The report should explain why you chose the data you used on the excel spreadsheet and it will justify your choices in the calculations.

You will need to do web research to answer some of these questions, you must include citations for any researched values. Here are some sources:

- For annual employment and wage statistics by profession, as well as by state and region.
<https://www.bls.gov/oes/tables.htm>
- For quarterly home price indices by region, including seasonally-adjusted.
<https://www.fhfa.gov/DataTools/Downloads/Pages/House-Price-Index-Datasets.aspx>
- For quartiles on rent prices (see the 50th Percentile Rent Estimates) and other housing data.
https://data.hud.gov/data_sets.html
- For Federal income tax rates (state income tax rates should be found by you)
<https://www.irs.gov/newsroom/irs-provides-tax-inflation-adjustments-for-tax-year-2021>
- For data on 30-year mortgage rates from the Federal Reserve Bank of St. Louis
<https://fred.stlouisfed.org/series/MORTGAGE30US>

Goals: In the beginning of the report, you will present overall goals of your plan. The goals will present what you want to achieve financially.

Road Map Section: This section is designed to present research and information gathered to justify the data used on the excel spread sheets. Below are the areas to include:

- **Career Plan:** This is the data used in the income section of the plan.
 - You will choose an industry in which you want to work in and the city you want to live and work in. **(Advice: See the BLS site above.)**
 - You will describe the educational background, duration, and expected student loan burden upon completion. **(Advice: Do NOT plan on a full scholarship.)**
 - You will also need to select specific job titles over your career to include promotions and raises until retirement at 65.
 - You must choose a reasonable salary and raise structure for the job titles you chose. **(Advice: Start with entry-level earnings between the 10th and 25th percentiles for your field, then plan for an salary between the 75th and 90th percentiles, adjusted for inflation or projected salary growth in your field.)**
 - You must also consider income tax. **(Advice: See the IRS webpage above.)**
- **Housing Plan:** This is the data focused on renting and buying housing.
 - You will rent an apartment until you have saved enough money for a down payment to purchase a home.
 - Rental amounts and home prices should be reasonable. **(Advice: See HUD site for data above.)**
 - Your mortgage will be a 30 year, fixed rate. **(Advice: See FED site above.)**
- **Auto/Public Transportation Plan:**
 - You will use public transportation (and estimate its cost based on the city you selected) until you have saved enough money to purchase a car.
 - You must use a reasonable cost for a car and consider inflation. (Although maybe you're saving up for a luxury car... just be realistic in your plan)

- Other Expenses Plan:
 - You will need to estimate other monthly expenses based on expected costs in the city you chose and your personal preferences.
 - You must consider inflation increasing the cost of your expenses and calculate your purchasing power.
 - Your income must cover all of your monthly expenses.
- Banking Plan:
 - You can only use a checking account or a credit card for monthly expenses.
 - The APY for the savings account must be based on real bank (cite it!).
 - The down payment for a home and car purchase must come from a savings account, mutual fund sales, or stock sales.
 - Your income can go into a checking or savings account, pay off a credit card or student loans, purchase mutual fund or stock shares, or put towards retirement.
 - The balance of your checking and savings account cannot go below \$0.
- Credit Card Plan:
 - You must find an average APR for a credit card.
 - Your credit card balance must be paid off at the age of 85.
- Retirement Plan:
 - You must select a type of retirement account and use an average interest rate on the current market.
 - You will make an income until age 65 and then your income will only come out of the retirement account.
- Wealth Development Plan:
 - You must invest in mutual funds with a lump sum strategy and invest in stocks with a buying on the dips strategy.
 - The prices of shares change randomly within a range justified by your research.
 - Stocks produce dividends that you can decide to reinvest or cash out as income.
 - You must calculate your after-tax IRR on your investment using capital gains tax.

Grading Rubric:	Max possible points earned
Completeness and accuracy of all project components	5
Spreadsheet cells are correctly formulated, labeled well and clearly organized	3
Written portion is written well and creatively	2
TOTAL	10

PLEASE NOTE: Partial credit will not be awarded for a partially complete project. You must submit all components to be considered for extra credit, even if you only want fewer than 10 extra credit points.